Global AFC Frameworks, Governance, and Regulations

Domain B Complete Q&A Review

Understanding the *Regulatory Principles* Behind Each Answer

Compliance Training Department

Agenda Domain B Topics

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Q1: FATF Role and Function

Topic: FATF Role, Function, and Regional Bodies

Which of the following best describes the primary function of the Financial Action Task Force (FATF)?

Correct Answer: Setting global standards for AML/CFT and conducting mutual evaluations to assess member compliance.

Core Concept: The FATF is an **intergovernmental body** established in 1989. Its primary functions are:
Standard Setting: Issuing the 40 Recommendations that form the global AML/CFT framework.
Mutual Evaluations: Assessing member countries' compliance through peer reviews.
Typology Research: Identifying and publishing new money laundering and terrorist financing methods.
Black/Grey Listing: Identifying jurisdictions with strategic AML/CFT deficiencies.

× **Common Trap:** "FATF enforces AML laws directly" INCORRECT. FATF sets standards but does not enforce laws; enforcement is done by national regulators.

Key Insight: FATF Recommendations are not legally binding but are implemented through national legislation. Countries that fail to comply risk being placed on the FATF Grey List.

Q2: FATF's 40 Recommendations

Topic: FATF 40 Recommendations

How many Recommendations does the FATF issue, and what do they cover?

Correct Answer: 40 Recommendations covering AML/CFT, including customer due diligence, record-keeping, suspicious transaction reporting, sanctions, and international cooperation.

Core Concept: The 40 Recommendations are organized into:
Recommendations 1-2: AML/CFT policies and coordination.
Recommendations 3-8: Money laundering and terrorist financing offenses.
Recommendations 9-23: Preventive measures for financial institutions and DNFBPs.
Recommendations 24-25: Transparency of legal persons and arrangements.
Recommendations 26-35: Powers and responsibilities of competent authorities.
Recommendations 36-40: International cooperation.

Key Insight: Recommendation 1 establishes the risk-based approach. **Recommendation 10** covers Customer Due Diligence. **Recommendation 20** covers STR filing.

Q3: FATF Mutual Evaluations

Topic: FATF Mutual Evaluations

What do FATF mutual evaluations assess?

Correct Answer: Both technical compliance (whether laws exist) and effectiveness (whether laws produce results against 11 Immediate Outcomes).

Core Concept:
Technical Compliance: Does the country have the required laws and regulations?
Effectiveness: Are the laws producing results? Measured against **11 Immediate Outcomes**.
IO.1: ML/TF risks understood.
IO.4: AML/CFT controls implemented.
IO.7: ML investigated and prosecuted.

Key Insight: Effectiveness ratings are more important than technical compliance ratings. A country can have perfect laws (technical compliance) but fail to implement them (low effectiveness).

Q4: FATF Grey and Black Lists

Topic: FATF Grey and Black Lists

What is the difference between FATF's Grey List and Black List?

Correct Answer: The Black List identifies jurisdictions with strategic AML/CFT deficiencies that have not made sufficient progress; the Grey List identifies jurisdictions under increased monitoring that are actively working to address deficiencies.

Core Concept:
Black List (Call for Action): Jurisdictions with serious strategic deficiencies. Countermeasures are recommended.
Grey List (Increased Monitoring): Jurisdictions with strategic deficiencies that have committed to an action plan. They are actively working to address issues.

Key Insight: Being on the Grey List has significant reputational and economic consequences. Financial institutions must apply enhanced due diligence to clients from Grey List jurisdictions.

Q5: FATF-Style Regional Bodies (FSRBs)

Topic: FATF-Style Regional Bodies

Which of the following is a FATF-Style Regional Body (FSRB)?

Correct Answer: APG (Asia/Pacific Group on Money Laundering), GAFILAT (Latin America), MONEYVAL (Europe), ESAAMLG (Eastern and Southern Africa), and MENAFATF (Middle East and North Africa).

Core Concept: FSRBs are regional organizations that:
Implement FATF standards: Adapt global standards to regional contexts.
Conduct mutual evaluations: Assess member compliance.
Provide technical assistance: Help countries implement frameworks.
Promote cooperation: Facilitate regional information sharing.

✗ **Common Trap:** "FSRBs are independent from FATF and set their own standards" INCORRECT. FSRBs are **affiliated with** and **implement** FATF standards.

Key Insight: There are nine FSRBs worldwide. Each is a member of the FATF Global Network and participates in the FATF Plenary.

Q6: Applying FATF Recommendations

Topic: Applying FATF Recommendations

A financial institution is updating its AML program. Which approach best reflects the proper application of FATF Recommendations?

Correct Answer: Implement a risk-based approach that tailors controls to the institution's specific risk profile while meeting the core requirements of each Recommendation.

Core Concept: The **risk-based approach** is the foundation of FATF Recommendations. It requires:
Risk Assessment: Identify and assess ML/TF risks.
Proportionate Controls: Implement controls appropriate to the level of risk.
Continuous Monitoring: Regularly review and update the program.

× **Common Trap:** "Apply all FATF Recommendations uniformly without deviation" INCORRECT. FATF explicitly requires a **risk-based approach**, not a one-size-fits-all approach.

Key Insight: FATF Recommendation 1 establishes the risk-based approach. It requires countries and institutions to identify, assess, and understand their ML/TF risks and apply resources proportionately.

Q7: UN Role in AML/CFT

Topic: UN Role and Sanctions Regimes

Which of the following accurately describes the role of the United Nations in AML/CFT?

Correct Answer: The UN establishes binding sanctions regimes through Security Council resolutions and promotes AML/CFT through conventions like the UN Convention against Corruption (UNCAC).

Core Concept: The UN plays several key roles:
Sanctions Regimes: UN Security Council resolutions impose binding sanctions.
Conventions: UNTOC (Transnational Organized Crime) and UNCAC (Corruption) provide legal frameworks.
Coordination: UNODC provides technical assistance.

× **Common Trap:** "UN sanctions are optional recommendations" INCORRECT. UN Security Council resolutions are **binding** on all member states under Article 25 of the UN Charter.

Key Insight: UNSCR 1267 (Al-Qaida/Taliban) and **UNSCR 1373** (terrorist financing) are the foundation of UN sanctions regimes.

Q8: UNSCR 1267 and 1373

Topic: UN Sanctions Resolutions

What is the difference between UNSCR 1267 and UNSCR 1373?

Correct Answer: UNSCR 1267 establishes a specific sanctions list for individuals and entities associated with Al-Qaida and the Taliban; UNSCR 1373 requires all member states to criminalize terrorist financing and freeze assets of terrorists and their supporters.

Core Concept:
UNSCR 1267 (1999): Created the Al-Qaida/Taliban sanctions list. Requires all states to freeze assets of listed individuals and entities.
UNSCR 1373 (2001): Requires all states to criminalize terrorist financing, freeze assets, and prevent the movement of terrorists.

Key Insight: UNSCR 1267 is a specific list; UNSCR 1373 requires countries to create their own domestic lists. Both require asset freezing without delay.

Q9: UN Convention against Corruption (UNCAC)

Topic: UNCAC

What is the primary purpose of the UN Convention against Corruption (UNCAC)?

Correct Answer: To provide a comprehensive global framework for preventing, detecting, and prosecuting corruption, including provisions for asset recovery and international cooperation.

Core Concept: UNCAC (2003) covers:
Prevention: Anti-corruption bodies, public sector transparency.
Criminalization: Bribery, embezzlement, money laundering.
Asset Recovery: Freezing, seizure, and return of stolen assets.
International Cooperation: MLA, extradition, law enforcement cooperation.

Key Insight: UNCAC is the **first legally binding global anti-corruption instrument**. It has 190+ parties. Asset recovery is a core principle.

Q10: UNODC Role

Topic: UNODC

What is the role of the UN Office on Drugs and Crime (UNODC) in AML/CFT?

Correct Answer: Providing technical assistance, training, and guidance to countries implementing AML/CFT frameworks and international conventions.

Core Concept: UNODC:
Provides Technical Assistance: Helps countries implement AML/CFT laws.
Delivers Training: Builds capacity in law enforcement and financial intelligence.
Publishes Guidance: On AML/CFT best practices.
Monitors Implementation: Tracks progress on UN conventions.

Key Insight: UNODC works with FIUs, law enforcement, and financial regulators to strengthen AML/CFT frameworks globally.

Q11: Regulators Role

Topic: Regulators, Law Enforcement, and FIUs

What is the primary role of financial regulators in AML/CFT?

Correct Answer: Setting AML/CFT rules, supervising compliance, and enforcing sanctions against non-compliant institutions.

Core Concept: Regulators:
Set Rules: Issue regulations (e.g., FinCEN, FCA, BaFin).
Supervise: Conduct examinations and inspections.
Enforce: Issue fines, penalties, and enforcement actions.
Guidance: Issue guidance on expectations.

✗ **Common Trap:** "Regulators investigate and prosecute financial crimes" INCORRECT. Regulators oversee compliance; law enforcement investigates crimes.

Key Insight: Key regulators include FinCEN (US), FCA (UK), BaFin (Germany), AMF (France), and the Fed (US banking).

Q12: Financial Intelligence Units (FIUs)

Topic: Financial Intelligence Units

What is the primary function of a Financial Intelligence Unit (FIU)?

Correct Answer: Receiving, analyzing, and disseminating suspicious transaction reports (STRs) to law enforcement and other competent authorities.

Core Concept: FIU functions:
Receive STRs: From financial institutions and DNFBPs.
Analyze: Identify patterns, trends, and suspicious activity.
Disseminate: Share intelligence with law enforcement and other FIUs.
Feedback: Provide feedback to reporting entities.

× **Common Trap:** "FIUs investigate and prosecute financial crimes" INCORRECT. FIUs are **intelligence units**, not investigative or prosecutorial bodies.

Key Insight: The Egmont Group connects FIUs globally, enabling secure information sharing for cross-border investigations.

Q13: Law Enforcement Role

Topic: Law Enforcement

What is the role of law enforcement in AML/CFT?

Correct Answer: Investigating, prosecuting, and recovering assets from money laundering and terrorist financing crimes.

Core Concept: Law enforcement:
Investigate: Conduct financial crime investigations.
Prosecute: Bring cases to court.
Asset Recovery: Seize and recover criminal proceeds.
International Cooperation: Work with foreign counterparts.

Key Insight: Key agencies include FBI, NCA, Europol, and Interpol. They work closely with FIUs and regulators.

Q14: Three Pillars Relationship

Topic: Three Pillars Relationship

Which statement best describes the relationship between regulators, FIUs, and law enforcement?

Correct Answer: Regulators supervise and enforce compliance, FIUs receive and analyze STRs, and law enforcement investigates and prosecutes each plays a distinct but complementary role.

Core Concept: The three pillars:
Regulators: Ensure compliance through supervision and enforcement.
FIUs: Produce intelligence from STRs.
Law Enforcement: Use intelligence to investigate and prosecute.

Key Insight: Information flows from financial institutions FIUs law enforcement. Regulators oversee the institutions.

Q15: Egmont Group

Topic: Egmont Group

What is the primary purpose of the Egmont Group?

Correct Answer: To provide a global network for FIUs to securely share information and cooperate on cross-border financial crime investigations.

Core Concept: Egmont Group:
Secure Portal: Enables confidential information sharing.
Typology Reports: Shared analysis of emerging threats.
Capacity Building: Training and support for member FIUs.
Membership: 160+ FIUs worldwide.

✗ **Common Trap:** "Egmont Group membership includes automatic FATF evaluation inclusion" INCORRECT. Egmont membership and FATF evaluations are separate.

Key Insight: The Egmont Group's **secure network** is essential for cross-border FIU cooperation. It has a Code of Conduct for information sharing.

Q16: FIU Feedback to Reporting Entities

Topic: FIU Feedback

Why is FIU feedback to reporting entities important?

Correct Answer: Feedback helps institutions improve their AML programs by understanding which STRs were valuable and what typologies are emerging.

Core Concept: Feedback benefits:
Improves STR Quality: Institutions learn what is useful.
Identifies Typologies: Highlights emerging ML/TF methods.
Builds Trust: Strengthens the relationship between FIUs and reporting entities.
Compliance: Under **FATF Recommendation 34**, guidance and feedback are required.

✗ **Common Trap:** "STR filing is enough; feedback is optional" INCORRECT. FATF Recommendation 34 requires competent authorities to provide guidance and feedback.

Key Insight: Lack of feedback is a common deficiency in mutual evaluations. It is a violation of FATF Recommendation 34.

Q17: Public Sector Objectives

Topic: Public Sector Objectives

What are the primary objectives of the public sector in AML/CFT?

Correct Answer: Protect national security, maintain financial system integrity, enforce laws, and prosecute criminals.

Core Concept: Public sector objectives:
National Security: Prevent terrorist financing.
Financial Integrity: Protect the financial system from abuse.
Law Enforcement: Investigate and prosecute.
Asset Recovery: Seize criminal proceeds.

Key Insight: The public sector's primary motivation is **public protection**, not commercial interests.

Q18: Private Sector Objectives

Topic: Private Sector Objectives

What are the primary objectives of the private sector in AML/CFT?

Correct Answer: Comply with regulations, protect the institution from financial and reputational damage, manage risk, and detect suspicious activity.

Core Concept: Private sector objectives:
Compliance: Meet regulatory requirements.
Risk Management: Protect against losses and reputational damage.
Detection: Identify and report suspicious activity.
Protection: Safeguard the institution from criminal exposure.

Key Insight: The private sector's motivation includes **commercial risk** and **regulatory compliance**, not just altruism.

Q19: Aligning Public and Private Objectives

Topic: Aligning Public and Private Objectives

Which of the following best aligns public and private sector objectives in AML/CFT?

Correct Answer: Public-private partnerships (PPPs) that enable information sharing while protecting confidentiality and legal rights.

Core Concept: PPPs:
Enable Information Sharing: Public and private share intelligence.
Joint Targeting: Combine resources against common threats.
Protect Rights: Confidentiality and legal safeguards.

Key Insight: PPPs bridge the gap between public security objectives and private risk management.

Q20: NGO Contributions to AFC

Topic: NGO Contributions

Which of the following is a key contribution of NGOs to the global fight against financial crime?

Correct Answer: Publishing research, benchmarks, and indices that inform risk assessments and due diligence practices.

Core Concept: Key NGO contributions:
Transparency International: Corruption Perceptions Index (CPI).
Tax Justice Network: Financial Secrecy Index (FSI).
Basel Institute on Governance: Basel AML Index, ICAR.
Global Witness: Investigative reports on corruption.

✗ **Common Trap:** "NGOs are the primary enforcers of international AML standards" INCORRECT. NGOs are **advocates and researchers**; enforcement is done by governments and regulators.

Key Insight: NGOs provide **independent, objective data** that complements regulatory information.

Q21: Regulatory Cooperation Mechanisms

Topic: Regulatory Cooperation

How do regulatory authorities cooperate on cross-border financial crime investigations?

Correct Answer: Through Mutual Legal Assistance Treaties (MLATs), the Egmont Group network, and coordinated examinations between home and host supervisors.

Core Concept: Key cooperation mechanisms:
MLATs: Formal treaties enabling exchange of evidence.
Egmont Group: Secure information sharing between FIUs.
Home-Host Supervision: Coordinated regulatory examinations.
Joint Reviews: Regulators from different jurisdictions conducting coordinated exams.

Key Insight: The **Basel Committee's Consolidated Supervision** framework requires home supervisors to oversee cross-border institutions with host supervisors coordinating examinations.

Q22: Mutual Legal Assistance Treaties (MLATs)

Topic: MLATs

What is the primary purpose of a Mutual Legal Assistance Treaty (MLAT)?

Correct Answer: To facilitate the exchange of evidence and information between countries for criminal investigations and prosecutions.

Core Concept: MLATs:
Evidence Exchange: Share documents, witness testimony, and records.
Asset Freezing: Freeze assets across borders.
Extradition: Support extradition requests.
Legal Framework: Provide legal basis for cooperation.

✗ **Common Trap:** "MLATs allow unlimited information sharing without restrictions" INCORRECT. MLATs are subject to **legal and procedural requirements**.

Key Insight: FATF Recommendation 36 requires countries to provide the widest possible range of mutual legal assistance.

Q23: Home-Host Supervision

Topic: Home-Host Supervision

What is the principle of home-host supervision in AML/CFT?

Correct Answer: The home supervisor has primary responsibility for supervising the institution's group-wide AML program, while host supervisors focus on local compliance.

Core Concept:
Home Supervisor: Primary oversight of group-wide compliance.
Host Supervisor: Local compliance in each jurisdiction.
Coordination: Both supervisors coordinate to avoid duplication.

Key Insight: Under **FATF Recommendation 18**, group-wide AML programs must apply to all branches and subsidiaries. The home supervisor ensures this.

Q24: Cross-Border Investigation Challenges

Topic: Cross-Border Challenges

What is the most significant challenge in cross-border money laundering investigations?

Correct Answer: Different legal frameworks, data protection laws, and procedural requirements across jurisdictions that delay or prevent information sharing.

Core Concept: Challenges:
Legal Divergence: Different ML/TF definitions.
Data Protection: GDPR vs US privacy laws.
Procedural Delays: MLATs can take months or years.
Lack of Trust: Some countries do not cooperate.

Key Insight: FATF Recommendation 2 requires countries to cooperate internationally. However, legal divergence remains a significant obstacle.

Q25: Using National Risk Assessments

Topic: Leveraging Regulatory Reports

How should a compliance team use a National Risk Assessment (NRA)?

Correct Answer: Use the NRA to identify country-level ML/TF threats and vulnerabilities that inform the institution's enterprise-wide risk assessment.

Key Insight: Under **FATF Recommendation 1**, institutions must understand national risks.

Q26: FIU Typology Reports

Topic: FIU Typology Reports

What is the value of FIU typology reports for financial institutions?

Correct Answer: They identify emerging ML/TF methods, enabling institutions to update monitoring scenarios and training programs.

Key Insight: Typology reports are **actionable intelligence** that help institutions stay ahead of criminal innovation.

Q27: Regulatory Enforcement Actions

Topic: Regulatory Enforcement Actions

How can a compliance team learn from regulatory enforcement actions?

Correct Answer: Review the deficiencies identified in enforcement actions to identify gaps in their own program and implement corrective measures.

Key Insight: Enforcement actions provide a **roadmap of what regulators consider deficient**.

Q28: Sectoral Risk Assessments

Topic: Sectoral Risk Assessments

What is the purpose of sectoral risk assessments?

Correct Answer: To identify ML/TF risks specific to industry sectors (e.g., banking, real estate, gambling) and inform sector-specific controls.

Key Insight: Sectoral risk assessments complement NRAs by providing **industry-specific** risk information.

Q29: Wolfsberg Group Guidance

Topic: Wolfsberg Group

What is the primary purpose of the Wolfsberg Group's AML guidance?

Correct Answer: Providing industry best practices for AML/CFT, including the Correspondent Banking Due Diligence Questionnaire (CBDDQ).

Key Insight: The Wolfsberg Group consists of 13 global banks. Its guidance is widely adopted as **industry best practice**.

Q30: Basel Committee Guidance

Topic: Basel Committee

What does the Basel Committee on Banking Supervision provide for AML/CFT?

Correct Answer: Principles for sound management of AML/CFT risks, including the Three Lines of Defense model and consolidated supervision.

Key Insight: The Basel Committee's guidance is referenced by regulators globally and forms the basis of many national frameworks.

Q31: ICAR Asset Recovery Support

Topic: ICAR

What does the Basel Institute's International Centre for Asset Recovery (ICAR) provide?

Correct Answer: Case mentoring and facilitating international cooperation on asset recovery.

Key Insight: ICAR has supported cases in the Balkans, Latin America, and Asia-Pacific, recovering billions in stolen assets.

Q32: Using CPI for Due Diligence

Topic: Corruption Perceptions Index

How should a compliance team use Transparency International's Corruption Perceptions Index (CPI)?

Correct Answer: Use CPI scores to assess corruption risk in jurisdictions and apply enhanced due diligence to clients from low-scoring countries.

Key Insight: A CPI score below 50 should trigger enhanced scrutiny in country risk assessments.

Q33: Purpose of NRAs

Topic: National Risk Assessments

What is the primary purpose of a National Risk Assessment (NRA)?

Correct Answer: To identify, assess, and understand the ML/TF risks facing a country to inform policy and resource allocation.

Key Insight: Under **FATF Recommendation 1**, countries must conduct NRAs. They are the foundation of the risk-based approach.

Q34: NRA Components

Topic: NRA Components

What are the three components of an NRA?

Correct Answer: Threat assessment, vulnerability assessment, and consequence assessment.

Key Insight: Threat = who is committing crime; **Vulnerability** = where systems are weak; **Consequence** = impact of crime.

Q35: Sectoral Risk Assessments

Topic: Sectoral Risk Assessments

What is the purpose of sectoral risk assessments?

Correct Answer: To identify ML/TF risks specific to industry sectors and inform sector-specific controls.

Key Insight: Sectoral risk assessments are used by regulators to prioritize supervisory resources.

Q36: Using NRAs in EWRA

Topic: NRA and EWRA

How does an NRA impact an institution's enterprise-wide risk assessment (EWRA)?

Correct Answer: The NRA provides the country-level risk context that must be incorporated into the EWRA, ensuring the institution's risk assessment reflects national threats.

Key Insight: Under **FATF Recommendation 1**, institutions must understand national risks and incorporate them into their EWRA.

Q37: US BSA Framework

Topic: US BSA

What is the foundation of US AML regulation?

Correct Answer: The Bank Secrecy Act (BSA) of 1970, as amended by the PATRIOT Act of 2001 and subsequent legislation.

Key Insight: The BSA establishes the **five pillars**: internal controls, compliance officer, training, independent testing, and CDD (including BO).

Q38: US PATRIOT Act Section 311

Topic: PATRIOT Act Section 311

What does Section 311 of the PATRIOT Act allow?

Correct Answer: The Treasury Department to designate foreign jurisdictions, institutions, or transactions as "primary money laundering concerns" and impose special measures.

Key Insight: Section 311 is a powerful tool that can require enhanced due diligence or prohibit relationships entirely.

Q39: US OFAC Sanctions

Topic: OFAC

What is the role of the US Office of Foreign Assets Control (OFAC)?

Correct Answer: Administering and enforcing US economic sanctions against designated countries, individuals, and entities.

Key Insight: OFAC sanctions are **strict liability** no intent is required for a violation.

Q40: EU AML Directives

Topic: EU AML Directives

What is the current framework for EU AML regulation?

Correct Answer: The AML Directives (4AMLD, 5AMLD, 6AMLD) transposed into national law, with the AMLR and AMLA providing centralized oversight.

Key Insight: 6AMLD expanded predicate offenses and criminalized aiding and abetting. AMLA (Frankfurt, 2026) provides direct supervision.

Q41: 6AMLD Key Provisions

Topic: 6AMLD

What are key provisions of the 6th Anti-Money Laundering Directive (6AMLD)?

Correct Answer: Expanded predicate offenses, criminalization of aiding and abetting, minimum 4-year imprisonment for ML offenses, and inclusion of soccer agents and CASPs.

Key Insight: 6AMLD added **soccer agents** and **cryptoasset service providers** to the AML framework.

Q42: AMLA Role

Topic: AMLA

What is the role of the Anti-Money Laundering Authority (AMLA)?

Correct Answer: Centralized EU supervisor with direct powers over highest-risk cross-border entities, including on-site inspections, fines, and license revocation.

Key Insight: AMLA (Frankfurt, 2026) provides direct oversight of entities with cross-border operations and significant risk profiles.

Q43: Why Jurisdictional Awareness Matters

Topic: Jurisdictional Awareness

Why is it important to be aware of AFC regulations in different jurisdictions?

Correct Answer: Different jurisdictions have different AML/CFT requirements, sanctions regimes, and enforcement approaches, creating compliance gaps and conflicts.

Key Insight: FATF Recommendation 18 requires group-wide AML programs that apply to all branches and subsidiaries.

Q44: Regulatory Divergence Example

Topic: Regulatory Divergence

Which of the following is an example of regulatory divergence between jurisdictions?

Correct Answer: The UK Bribery Act prohibits facilitation payments, while the US FCPA allows them in certain circumstances.

Key Insight: This divergence creates compliance challenges for global institutions operating in both jurisdictions.

Q45: Managing Jurisdictional Conflicts

Topic: Managing Conflicts

How should a global institution manage conflicts between jurisdictional AML requirements?

Correct Answer: Apply the stricter standard where there is a conflict, and seek legal advice on data protection and information-sharing restrictions.

Key Insight: The **principle of strictest standard** is commonly applied when regulatory requirements conflict.

Q46: Sanctions Differences

Topic: Sanctions Differences

What is a common challenge with sanctions compliance across jurisdictions?

Correct Answer: US OFAC sanctions may differ from EU or UN sanctions, requiring institutions to comply with multiple lists simultaneously.

Key Insight: Global institutions must screen against **all applicable sanctions lists** (UN, US, EU, and local).

Q47: PPP Importance

Topic: PPP Importance

Why are public-private partnerships important in AML/CFT?

Correct Answer: They enable timely information sharing between public and private sectors, allowing joint targeting of high-risk actors.

Key Insight: Successful PPP models include UK JMLIT, Australia Fintel, and Singapore ACIP.

Q48: PPP Goals

Topic: PPP Goals

What do PPPs aim to achieve in AML/CFT?

Correct Answer: Real-time intelligence sharing, joint targeting of threats, and disruption of criminal networks.

Key Insight: PPPs aim to **disrupt** financial crime, not just detect it after the fact.

Q49: PPP Information Sharing

Topic: PPP Information Sharing

What type of information is typically shared in a PPP?

Correct Answer: Threat intelligence, typology information, and specific indicators of suspicious activity, subject to confidentiality and data protection safeguards.

Key Insight: Information sharing in PPPs is **protected** and **confidential**.

Q50: PPP Real-Time Intelligence

Topic: PPP Real-Time Intelligence

Which approach best aligns with the goals of a PPP framework?

Correct Answer: Establishing a formal platform where regulators and institutions engage in direct two-way communication on specific threats.

Key Insight: Anonymized, after-the-fact reporting is NOT sufficient for disruption. Real-time, two-way communication is essential.

Q51: PPP Strengths

Topic: PPP Strengths

What is a strength of public-private partnerships?

Correct Answer: Combining public sector intelligence with private sector data to create a comprehensive threat picture.

Key Insight: PPPs leverage **complementary capabilities** public has legal powers, private has data.

Q52: PPP Limitations

Topic: PPP Limitations

What is a limitation of public-private partnerships?

Correct Answer: Data protection laws and confidentiality obligations may restrict the type and amount of information that can be shared.

Key Insight: GDPR, legal privilege, and tipping-off restrictions limit PPP information sharing.

Q53: PPP Resource Requirements

Topic: PPP Resources

What is a resource requirement for effective PPPs?

Correct Answer: Dedicated personnel, technology infrastructure, and ongoing commitment from both public and private sectors.

Key Insight: PPPs require **sustained investment** in people, systems, and trust-building.

Q54: PPP Trust Building

Topic: PPP Trust

Why is trust essential for effective PPPs?

Correct Answer: Trust enables open information sharing and collaboration, which is essential for identifying and disrupting criminal activity.

Key Insight: Trust takes time to build and can be easily broken. Clear protocols and confidentiality safeguards are essential.

Q55: Private Sector Collaboration

Topic: Private Sector Collaboration

How can the private sector foster collaboration in fighting financial crime?

Correct Answer: By participating in information-sharing initiatives like PPPs, industry forums, and cross-institution intelligence sharing.

Key Insight: Industry forums, such as the Wolfsberg Group and IIF, enable private sector collaboration.

Q56: Section 314(b) Sharing

Topic: Section 314(b)

What does Section 314(b) of the US PATRIOT Act allow?

Correct Answer: Financial institutions to share information with each other for AML purposes if they file an opt-in notice with FinCEN.

Key Insight: Sharing without opt-in is a violation. Confidentiality and safe harbor protections apply.

Q57: Industry Forum Benefits

Topic: Industry Forums

What are the benefits of industry forums for AML collaboration?

Correct Answer: Sharing typologies, best practices, and emerging threats across institutions in a sector.

Key Insight: Industry forums help institutions stay ahead of emerging risks.

Q58: Cross-Institution Intelligence Sharing

Topic: Cross-Institution Sharing

What should institutions consider when sharing intelligence with other institutions?

Correct Answer: Legal authority, confidentiality, data protection, and the risk of tipping-off subjects.

Key Insight: Sharing must be **legal, proportionate, and protected**.

Q59: Data Sharing Legal Authority

Topic: Data Sharing

What is the most important consideration before sharing data for AML purposes?

Correct Answer: Legal authority to share the data under applicable laws and regulations.

Key Insight: Sharing without legal authority is a violation and can lead to enforcement action.

Q60: Data Protection and Sharing

Topic: Data Protection

How do data protection laws impact AML information sharing?

Correct Answer: They restrict the type and amount of personal data that can be shared, requiring institutions to comply with GDPR or other privacy laws.

Key Insight: GDPR Article 49(1)(d) allows transfers for "important public interest" including AML.

Q61: Tipping-Off Risk

Topic: Tipping-Off

What is the risk of tipping-off in AML information sharing?

Correct Answer: Inadvertently alerting the subject of an investigation that they are under scrutiny, allowing them to destroy evidence or flee.

Key Insight: Tipping-off is a criminal offense in many jurisdictions. Institutions must have safeguards.

Q62: Data Quality in Sharing

Topic: Data Quality

Why is data quality important when sharing information for AML purposes?

Correct Answer: Inaccurate or incomplete information can lead to false positives, wasted resources, and missed detections.

Key Insight: GIGO Garbage In, Garbage Out applies to information sharing too.

Q63: GDPR and AML

Topic: GDPR and AML

How does GDPR impact AML/CFT applications?

Correct Answer: GDPR limits the collection, use, and sharing of personal data for AML purposes, requiring institutions to balance AML obligations with privacy rights.

Key Insight: GDPR Articles 5, 6, and 9 set the framework for AML data processing.

Q64: Data Minimization

Topic: Data Minimization

What is the principle of data minimization in AML?

Correct Answer: Collect only personal data that is adequate, relevant, and limited to what is necessary for AML purposes.

Key Insight: Data minimization is a core GDPR principle (Article 5(1)(c)).

Q65: Purpose Limitation

Topic: Purpose Limitation

What is the principle of purpose limitation in AML data processing?

Correct Answer: Personal data must be collected for specified, explicit, and legitimate purposes and not further processed in a way incompatible with those purposes.

Key Insight: Purpose limitation is a core GDPR principle (Article 5(1)(b)).

Q66: Cross-Border Data Transfer

Topic: Cross-Border Transfer

What is a challenge for cross-border AML information sharing under GDPR?

Correct Answer: GDPR restricts transfers of personal data to countries without adequate data protection, requiring appropriate safeguards.

Key Insight: GDPR Article 49(1)(d) allows transfers for "important public interest" including AML and law enforcement.

Q67: Consumer Protection vs AML

Topic: Consumer Protection

What is a tension between consumer protection and AML requirements?

Correct Answer: Consumer protection requires transparency and disclosure, while AML may require secrecy to avoid tipping-off.

Key Insight: AML obligations often prevail, but institutions must have policies to handle conflicts.

Q68: Account Freezing Conflicts

Topic: Account Freezing

What is a conflict between consumer protection and AML in account freezing?

Correct Answer: Consumer protection may require notice, while AML may require immediate freezing without notice.

Key Insight: AML freezing requirements under FATF and sanctions regimes take precedence.

Q69: Fair Treatment vs Risk-Based

Topic: Fair Treatment

How can a risk-based approach conflict with fair treatment of customers?

Correct Answer: Risk-based AML requires treating high-risk customers differently (EDD), which may be perceived as unfair or discriminatory.

Key Insight: Institutions must balance fair treatment with risk-based compliance.

Q70: Balancing Consumer Protection

Topic: Balancing

How should institutions balance consumer protection and AML obligations?

Correct Answer: Develop clear policies that balance both, with legal guidance on handling conflicts, and communicate transparently with customers where allowed.

Key Insight: A clear policy framework helps staff navigate conflicts.

Q71: ESG and AML Intersection

Topic: ESG and AML

How do ESG factors intersect with AML/CFT compliance?

Correct Answer: ESG factors, particularly governance and social responsibility, are increasingly expected to be considered in AML risk assessments.

Key Insight: Regulators expect institutions to consider ESG in AML programs.

Q72: Governance and AML

Topic: Governance

What does the "G" in ESG mean for AML compliance?

Correct Answer: Board oversight, compliance culture, ethics, and transparency in governance structures.

Key Insight: Governance is the most directly relevant ESG factor for AML.

Q73: Environmental Crime and AML

Topic: Environmental Crime

Why is environmental crime increasingly linked to money laundering?

Correct Answer: Environmental crimes (illegal logging, mining, wildlife trafficking) generate high-volume cash proceeds that require money laundering.

Key Insight: FATF has issued guidance on Environmental Crime and Money Laundering.

Q74: Social Responsibility and AML

Topic: Social Responsibility

What social factors are relevant to AML risk assessment?

Correct Answer: Human trafficking, modern slavery, and exploitation all require money laundering for proceeds.

Key Insight: Social factors like human trafficking are increasingly integrated into AML risk assessments.

Q75: Financial Inclusion vs AML

Topic: Financial Inclusion

What is the primary tension between financial inclusion and AML?

Correct Answer: AML due diligence requirements may create barriers for underserved populations lacking traditional identification.

Key Insight: FATF has issued guidance on Financial Inclusion and proportionality.

Q76: Proportionality in Financial Inclusion

Topic: Proportionality

How can institutions balance financial inclusion with AML controls?

Correct Answer: Apply proportionate CDD measures based on risk, using simplified due diligence for lower-risk customers.

Key Insight: Simplified due diligence is permitted under **FATF Recommendation 10** for lower-risk customers.

Q77: De-risking and Inclusion

Topic: De-risking

What is de-risking and how does it impact financial inclusion?

Correct Answer: De-risking is exiting entire market segments to avoid AML risk, which can exclude legitimate customers and undermine financial inclusion.

Key Insight: FATF has issued guidance discouraging indiscriminate de-risking.

Q78: Alternative Verification Methods

Topic: Alternative Verification

What methods can support financial inclusion while meeting AML requirements?

Correct Answer: Alternative identification methods such as biometric verification, digital identity systems, and community-based verification.

Key Insight: Technology can bridge the gap between inclusion and compliance.

SUMMARY: Key Principles Domain B

Global AFC Frameworks, Governance, and Regulations:

Concept	Application
FATF Role	Sets global standards; conducts mutual evaluations
FSRBs	Regional implementation of FATF standards
UN Sanctions	Binding Security Council resolutions (1267, 1373)
Regulators, LE, FIUs	Distinct but complementary roles
NGO Contributions	CPI, FSI, Basel AML Index, ICAR
Regulatory Cooperation	MLATs, Egmont Group, home-host supervision
NRAs	Input to EWRA; threat, vulnerability, consequence
US Framework	BSA, PATRIOT, FinCEN, OFAC
EU Framework	AML Directives, AMLR, AMLA (Frankfurt, 2026)
Jurisdictional Awareness	Different requirements; conflicts management
PPPs	Timely sharing; joint targeting; disruption
Private Sector Collaboration	Industry forums; cross-institution sharing
Data Sharing	Legal authority; data protection; tipping-off
Data Privacy	GDPR; purpose limitation; cross-border transfer
Consumer Protection	Tipping-off; account freezing; fair treatment
ESG	Governance; social; environmental crime
Financial Inclusion	Proportionality; simplified due diligence

FINAL LESSON: Domain B tests understanding of the **global governance structure** who sets rules, who enforces them, who implements them, and how they cooperate. Understand the *ecosystem* and the *individual answers* become obvious.

Thank You

Keep learning. Keep growing.

Understanding global frameworks is the foundation of effective AML/CFT compliance. End of Domain B Review

80 Slides